ENTRAVISION COMMUNICATIONS EVC

July 27, 2026 - 3:58pm EST
by Robot1

			2026	2027
Price:	10.53	EPS	0	0
Shares Out. (in M):	106	P/E	0	0
Market Cap (in $M):	1,116	P/FCF	0	0
Net Debt (in $M):	74	EBIT	0	0
TEV (in $M):	1,190	TEV/EBIT	0	0

Description

Summary

Our core thesis in owning EVC *after* the stock has appreciated 4x year-to-date is that good businesses which incubate inside troubled businesses often have a longer discovery path to revaluation. We think the market is wrong to price Smadex as if a plateau is fait accompli. Rather, our diligence suggests that the Smadex breakout is both explainable and sustainable. Below we explain why Smadex is well positioned to continue its ascent, which anchors our base case that the stock is undervalued today. Beyond the base case, we believe the stock possesses right-tail (multi-bagger) characteristics over a longer timeframe.

Background

We are only going to share a very brief background here simply to frame the current situation. Entravision (NYSE: EVC) began life as a Spanish-language broadcaster — it remains the largest affiliate group of TelevisaUnivision's Univision and UniMás networks, with TV and radio stations across 13 of the 20 highest-density US Latino markets, and TelevisaUnivision still owns ~10% of the company under an affiliation agreement that expires December 31, 2026. Over the past eight years, management layered a series of digital advertising bets on top of that legacy base: the 2018 acquisition of Smadex, a Barcelona-based programmatic DSP; the 2020 acquisition of Cisneros Interactive, which made EVC one of Meta's largest Authorized Sales Partners across LatAm and other emerging markets; and Adwake, a mobile growth/performance agency. The Meta reseller bet blew up in March 2024 when Meta unilaterally wound down its ASP program, forcing EVC to divest the entire EGP business at a loss — but the Smadex bet has since gone the other way entirely: the Advertising Technology & Services segment (Smadex plus a very small contribution from Adwake) grew from ~$51M of revenue in 1Q 2025 to $155M in 1Q 2026 (+204% YoY), with one large customer growing from zero to $71M of quarterly revenue in that timeframe. The market is not valuing Smadex EBITDA anywhere near peers (8.5x 1Q annualized EBITDA vs closest peer Liftoff (LFTO) at 11.8x if we assume broadcasting assets are worth ~$200M and adjusting for net debt and capitalized overhead).

One point of additional framing: Smadex is a rather narrowly focused DSP – mobile-first, largely focused on Gaming and Casual app installs. They are also performing well in CTV and the wave of mobile apps making their way to CTV advertising means that micro-segment is growing at multiples of the broader CTV ecosystem, which is itself growing much faster than the broader ad market. Management believes their end markets are growing >30%. One could note this narrow focus is a risk, but we would counter that moving to adjacencies is just as much an opportunity (e-commerce, retargeting, SSP etc.).

Smadex Diligence Summary

When EVC reported its breakout quarter in May (up 93% on EPS Day as Smadex EBIT grew 5x YoY and 3x QoQ), we rushed to do work to understand the situation - businesses emerging out of a struggling parent can often sustain extended periods of revaluation. We conducted diligence to understand the Smadex breakout and more importantly whether their outsized growth is sustainable. Our posture going into the diligence leaned somewhat negative – a quick look at the industry structure and you see walled gardens, $150B behemoth AppLovin, then a very long tail of DSPs, of which we would note LFTO and Moloco are probably (now) the best comps for Smadex.

While we entered with healthy skepticism, what followed was a coherent narrative that both explained the breakout and, more importantly, spoke to forward sustainability.

We uncovered five layers of likely sustainability, and thus we think the market still meaningfully discounts Smadex at an implied 8.5x 1Q annualized EBITDA (and ~6x our ’27 estimate).

1. **Architecture**
   a. We believe Smadex made the correct decision to aggressively re-architect their programmatic buying around Deep Neural Networks and AI in 2023/2024. The result has transformed a previously high-touch DSP, which would often be given shots on goal only to fail at scale-up, to one now producing ROAS competitive with leading peers like LFTO and Moloco. This means they now have an equal chance of winning large customers.
2. **CTV**
   a. Smadex also moved early to optimize CTV signals, a market that is growing much faster than the broader advertising market, but even within CTV Smadex’s mobile-first approach is growing faster than the overall CTV market. EVC believes their end markets are growing >30%, and CTV is a contributing factor.
   b. What makes us most excited about CTV is that the structural disadvantage of not owning an SSP is substantially lower in this segment given a much smaller supplier base – we think Smadex is even more likely to sustain performance in this fast-growing category.
3. **Sales Funnel**
   a. When we sat down with the CEO at their corporate headquarters, he described the funnel as follows: There are 5,000 advertisers at the top of the funnel who could use Smadex, of which 1,200 are being actively targeted, and 230 are current customers. Among the Top 100 targets, Smadex has only 20 – of which the whale is 1.
   b. Where the market sees concentration risk, we think the ability to win large customers is in the first inning. We also think it is probable that future large customers are already in campaigns with Smadex.
4. **People**
   a. Our feedback from former employees, which we spoke to through expert network services, on Smadex founder and CEO Jordi de los Pinos was quite positive. A few quotes…
      i. “He is an engineer by background but understood every number so well you would have thought he was the CFO”
      ii. “He is a fair but firm leader, he will address under-performance when necessary”
      iii. “If he says it, it gets done – he knows how to focus on quality over quantity”
   b. EVC also appears to have made a coup when they hired Chief Revenue Officer Philip Gontier from LFTO (also formerly Twitter). Before our

calls with some of Smadex's former employees, we listened to a conference interview (Pocket Gamerbiz, March '23) where Philip was introduced as "the godfather" of mobile advertising. Our following calls were similarly positive. One former colleague stated that they believe his hire is 80-90% responsible for the revenue inflection – he knows everybody in the industry and opens doors.

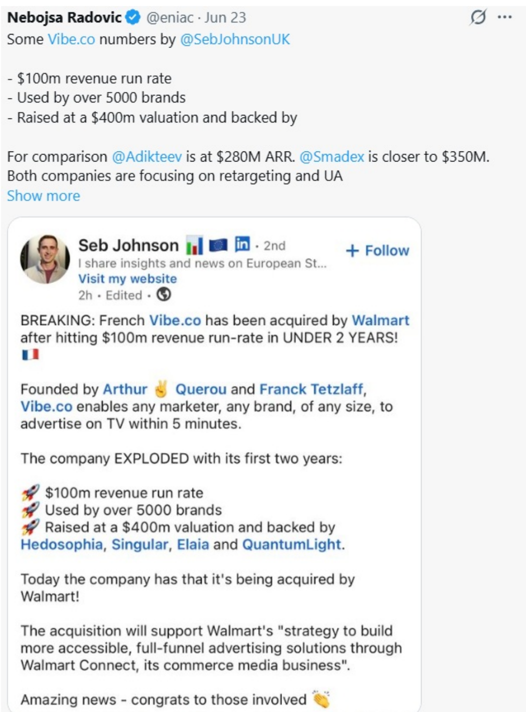
   c. We are conceptualizing this as a classic match of entrepreneurial energy and execution (Jordi) plus eventually reaching a place where bringing in a key industry talent (Philip) raises the company to the next level. Jordi took the company from a $5M gross revenue business at the time of EVC's purchase in 2018 to just over $100M in 2023, then proceeded to essentially fast follow the best players in the industry around Neural Networks and AI. Philip has helped open doors to large clients, and the improved ROAS is breaking ties. This team has now followed the 2018-2023 20-bagger with a 6x from 2023 – current run-rate. If these were the stats and narrative of a private company we might be valuing it at $2B-$4B. (Note: if you want to use net revenue rather than gross, replace $5M > $600M with $1M > $230M)

5. **Unmodeled Adjacencies**
   a. You cannot separate this from our 4th point above - if you believe the People are stars, this is a tiny company relative to the TAM they are in. They barely play in e-commerce and retargeting, do not own a supply-side platform, and we do not know how the rise of native AI advertising is going to change the landscape. We think it would be shortsighted to box this company into its current TAM and instead think the re-architecture and early moves in CTV support a case that this team will find profitable adjacencies in the future.

Valuation

These five points lead us to believe EBITDA continues its ascent from these levels, rather than plateauing – and for that reason, paying an implied 8.5x '26 1QA EBITDA (assumes $200M broadcast value) versus LFTO at 11.8x 1QA is ignoring essentially all future growth and all optionality from here.

We would also note that we are anchoring to LFTO, where EVC has far superior recent and prospective growth. One small example of valuation support was Walmart's recent acquisition of Vibe.co for what is believed to be 14x ARR. Vibe is a CTV-focused DSP serving SMBs. Our best guess is Smadex is larger in the CTV segment, and this alone is well north of where the market prices the entirety of Smadex today.



Putting aside relative valuation, for a business that we just mentioned has increased 6x on the top line in 3.5 years, grew EBITDA 5x YoY in Q1, we think can continue to grow top-line 20-30% per year for several more years, and where we expect 70-80% FCF/EBITDA conversion, 8.5x current run-rate leaves substantial room for upside.

We hesitate to put out a point estimate for valuation as this is much more of a continuum-based thought process, but for sake of conversation, a fair current valuation on our best guess for '27 EBITDA estimates looks like this.

EVC — Sum-of-the-Parts Valuation

Base Case | $ in millions, except per share

	Multiple	EBITDA	Value
Media Segment (2-yr avg EBITDA)	7.0x	28	193
Smadex ('27E EBITDA)	10.0x	180	1,800
Gross Enterprise Value			**1,993**
Less: Net debt at YE'26			(10)
Less: Capitalized corporate G&A	10.0x	(25)	(250)
Implied Equity Value			**1,733**
Shares Outstanding			106.0
Implied Share Price			**$16.34**
Current Price (7.23 close)			$10.53
Upside / (Downside)			**55.2%**

We derived $180M of 2027 Smadex EBITDA by assuming the following:

- The whale plateaus at Q1 quarterly revenue of $71M
- Rest of business, which just grew from $60M > $84M sequentially, grows 5% sequentially per quarter for 2Q-4Q ’26, and grows 30% YoY in 2027. This 30% growth would be a deceleration in non-whale revenue from 42%/60%/58% YoY growth in FY24-FY26.
    - The ’26 quarterlies may skew conservative as the sequential ramp in revenue during 1Q might imply a monthly exit rate well over $30M per month.
- ~50bps increase in gross margin which is mechanical with the mix shift away from the whale (we believe it comes at lower gross margins).

Where could we be wrong?

- Far and away it’s if the whale up and left. We believe this would be a $70M EBITDA headwind if they instantly went to zero. We believe whale gross margins are lower than corporate, and the company would have some opportunity to remove Direct Opex and SG&A in conjunction with a loss of this magnitude, should it come to fruition.
- On the flip side, we assume none of what EVC is currently germinating follows the pattern of the whale, and as noted above we are implying a deceleration in the rest of the business as well. We also have nothing modeled for any adjacency.

Timeliness/Catalyst – Why Now?

1. Earnings
    a. We think there is an incremental layer of importance to quarterly earnings given the Smadex breakout and skepticism thereof.
    b. The skeptical view is to brace for the loss of their whale. We think there is a low probability of this occurring in the near-term and think it is probable that the company has already won and is germinating other large customers.
    c. We also think the non-whale growth (40% sequential in 1Q) is driven by CTV – during our expert calls, Smadex was universally mentioned as well-positioned in this space.
2. Strategic Alternatives – Smadex Driven
    a. Flowing from point one – if Smadex performs as we expect, there are a confluence of factors pointing towards a strategic separation which should unlock Smadex value.
        i. Whether we agree or not, according to CEO Christenson, a debt-free balance sheet allows for incremental strategic flexibility. We think this process plays out by 1H’27.
        ii. Smadex growth by itself provides headroom to carry a standalone corporate overhead.
3. Strategic Alternatives - Broadcast Driven
    a. The broadcast M&A window looks open right now, and we suspect with industry-friendly FCC leadership management teams will have a now or never thought process.
    b. Nowhere in this analysis have we discussed spectrum, but this is a call option that would likely become relevant in M&A. While the company is sitting on ~$600M of latent value if their spectrum was valued at $1.75/MHz-pop, it would take another Incentive Auction to unlock this value. Even when this happened ~10 years ago, it took 4 years to come together. The only real way to ‘monetize spectrum’ right now is to sell your base broadcasting business at an agreed upon/fair EBITDA multiple, and demand some heavily discounted number relative to that $600M of latent value. This is all such a hypothetical that we have just ignored it – perhaps it moves the headline EBITDA multiple by a few turns?
4. Coming Out Party: This is much softer, but after the Meta debacle in March 2024, CEO Christenson told internal staff that they need to put their heads down and execute for 3 years. He viewed 3 years as the length of time to win back credibility. He concurrently fired external IR and the company essentially went dark. We will be approaching said 3-year anniversary soon, and if all else fails, we think the company will likely increase communication, provide Investor Relations and perhaps attempt to gain sell side coverage from the digital advertising side – where we expect the stock to look attractive versus peers.

*** The thesis expressed above contains forward-looking statements and is intended for informational purposes consistent with the nature of this forum; it is not a recommendation to buy, sell, hold, or otherwise trade the securities of the referenced issuer. The authors/their affiliates do not hold a position with the issuer such as employment, directorship, or consultancy. The authors/their affiliates currently own a position in the referenced issuer's securities; however, that position may change at any time and without notice.*

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Catalyst

Earnings

Potentail Strategic Alternatives

IR Outreach, Sell-Side Coverage

Messages

Subject New Whale
Entry 07/28/2026 04:48 PM
Member igorious

Thanks for the post, am long this as well. In terms of diversifying in Q2, there appears to be a breadcrumb in the 10-Q that suggests they are ramping another large customer:

- Only the main "whale" accounts for >5% of revenues, but a second advertising customer is at 6% of receivables.
- Given this industry pays on a 30 day lag, the implication is someone started ramping in March and is going to be run-rating over 6% in Q2.
- What's more, AR from the main customer is about $31m at the end of Q1, which would be above their run-rate for the quarter. I don't expect much growth from this angle, but it's at least good to see they weren't already ramping down in March.